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The following comments might appear to be about risk; they are really about opportunity.

Bubbles

The world is awash in bubbles (if the financial media are to be believed). One of the latest is the Greek debt bubble which, through its threat to other leveraged southern Europe economies and, by extension, the balance of the European economies, has grown into the European debt crisis. Then there is the potential linkage to the U.S.

This form of linear reasoning extrapolates a trend that rapidly assumes extraordinary dimension. As a counterbalance to terror-based decision making, it often helps to augment such qualitative assertions with quantitative information, just as purely quantitative analysis can mislead in the absence of contextual evaluation. We did mention in the past that the Greek GDP, at about \$340 billion, is less than one-fifth the size of California's economy. On this basis, the world has more to fear from California than from Greece. As to the European Union's risk, Greece represents 2.3% of the GDP of the European Union. Greece's gross government debt represents 6% of the aggregate debt of France, Germany, Italy and Greece, and about 5% if the U.K. is included. These are but a few facts, just as there are other facts that support a bubble scenario.¹

It is certainly possible that a straightforward, linear cascade of stresses could occur. However, the world geopolitical, social, economic and financial systems form an infinitely more complex environment than such simple, if intuitively compelling, lines of thought suggest. There are a thousand unobserved variables operating for every few of which we are informed and to which we react. This is the risk of *availability error*, making judgments based upon data at hand as opposed to all of the relevant data.

There is another systematic analytical risk, which is the failure to appreciate the existence of *adaptive behavior*. One of the more recently declared bubbles was that of U.S. commercial real estate, which was to be the 'next shoe to drop'. Below, the message is reprised but twice, over the 9-month period May 2009 to February 2010; in reality, it has been presented to us innumerable times daily for a much longer period.

SPECIAL REPORT [Road to Rescue](#) (CNNMoney.com)

Is a commercial real estate bust inevitable?

The government hopes to restore lending via cheap financing. Skeptics say programs aimed at restarting the market haven't worked yet.

By Colin Barr, senior writer

May 28, 2009: 3:48 AM ET

¹ Sources: Bloomberg, Bank of Greece, Bundesbank, Bank of England, Banca D'Italia, Banque de France.

FORTUNE MAGAZINE Fortune Investor Daily (CNMoney.com)

3 signs of the next real estate collapse

The latest bubble is about to burst, but this time it's in the commercial market. Here's how to see it coming.

By [Katie Benner](#), writer-reporter

October 22, 2009: 10:16 AM ET

Elizabeth Warren Warns About Commercial Real Estate Crisis, 'Downward Spiral' For Small Businesses, Local Banks

First Posted: 02-11-10 08:36 AM | Updated: 02-11-10 09:49 AM

Bubbles as an Opportunity Creation Mechanism

As yet, the commercial real estate bubble has yet to burst. Perhaps there are adaptive or coping mechanisms at work. One of the coping mechanisms – because individuals and governments do react to threats and needs – was the issuance of FASB Staff Position (FSP) 157-4 where², in effect, the FASB relaxed the application of mark-to-market valuation requirements by permitting company discretion in fair value assessments of both assets and liabilities when there is evidence of disorderly market transactions. The clarification permits real estate companies to exercise judgment when calculating fair values and flexibility in employing other valuation methods including income (present value) and replacement cost. The net result was the avoidance of further degradation in balance sheet ratios that would have forced violations of loan covenants. If this seems a convenient, radical departure from accounting orthodoxy, it was likewise a radical departure when mark-to-market rules were first established in September 2006 by FASB with FAS 157 “Fair Value Measurements”¹ overriding the cost-based approach that was historical bedrock of U.S. accounting conventions. That change was itself enacted to cope with the accounting irregularities at Enron that created so much systemic damage.

Another coping mechanism is the operation of raw economic self-interest: acquisition activity. More than a few large real estate firms have been actively pursuing the assets of financially disabled competitors. Brookfield Asset Management and Simon Properties have been battling – battling, mind you – for the privilege to deploy some \$10 billion of capital to acquire General Growth Properties out of bankruptcy. Vornado has involved itself in this competition, if in a secondary manner, and Australia-based Westfield Group, tied with Simon Properties for the distinction of being the world's largest retail property company, considered a bid as well. These entities must be considered among the most

² FAS 157 and subsequent releases have been reclassified under the Account Standards Codification (ASC). FAS 157 is now ASC Topic 820 and FAS 157-4 is ASC Topic 820, Subtopic 10, Section 65.

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informed of investors in this sphere of activity – they do not appear to be excessively worried about the impact of a commercial property bubble. Brookfield and Vornado are both major holders of commercial property. Any given company might not survive, but the real estate does.

So, we don't yet know what the outcome of the European debt crisis will be. We do suspect, though, that some coping is occurring already, since it was only two weeks ago that the Greek central bank reported that in the first half of 2010, the budget deficit fell by over 40%. Revenue actually rose somewhat relative to the first half of 2009, and spending declined sharply. In June, the budget deficit fell by over 60%, to €1.91 billion from €5.06 billion in June 2009.³

It is clear, though, that investors, or at least some sub-sets of investors, are alarmed. Alarm, as for so many details of social behavior these days, can be measured. This is readily accomplished via the VIX, which is the CBOE's ever-more-wildly popular measurement of market volatility. The VIX is popular because it is used to measure the cost to hedge against risk (via options) and, via a VIX ETF, to actually hedge against risk. From a level of 20 at the start of this year, precisely at its long-term average of 20, the VIX actually doubled, to 40, by May 20th. It closed at over forty on three occasions in May 2010. In all of its 20-year recorded history of 5,136 days, it closed above forty only 155 times, or about 3% of total observations.⁴ For a qualitative comparison of the degree of alarm this required, the VIX also exceeded 40 after WorldCom Inc.'s 2002 bankruptcy, the September 11th terrorist attacks in 2001, Long-Term Capital Management's collapse in 1998, and the Asian financial crisis in 1997.

Other investor groups, aside from the aforementioned real estate companies, do not appear to be alarmed. One such group is the high yield bond investor. U.S. corporate high yield bonds returned about 58% in 2009. This year, through June 30th, the return has been 4.5%, which is about 9% on an annual basis. What is interesting is that the current yield spread of the Barclays U.S. Corporate High Yield Index over U.S. Treasuries is now only 7% points.⁵ This spread, which reflects the degree of perceived credit risk among U.S. corporate borrowers, has a ten-year average of roughly 6.2% points. It reached a record spread of 18% points during the credit crisis of 2008/2009. Essentially, lenders to corporations of lesser credit quality no longer require more than a normal level of yield premium for the risk they believe they are taking.

The same cannot be said for equity investors. The impact of the bubble fears discussed above is being clearly expressed in equity valuations. Before looking at the valuations themselves, let us examine the recent changes in the financial character of the equities

³ Bank of Greece, *Central Government Net Borrowing Requirement on a cash basis: January-June 2010*. 7/05/2010

⁴ CBOE VIX Index data sourced from Bloomberg.

⁵ Barclays Capital index yield data sourced from Barclays Capital Live website.

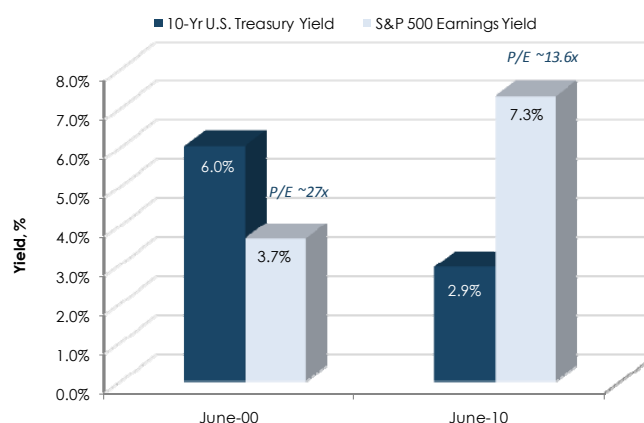
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that are being valued, or mis-valued. The credit crisis – which to corporate borrowers meant the virtually complete withdrawal of even workaday borrowing accommodations, such as the ordinary-course extension of a maturing line of credit – traumatized senior corporate executives as much as it did individual investors. Just as individual investors have fled to near-zero percent Treasuries and money market instruments, corporations have been reducing fixed and variable costs, husbanding their cash flow, and repaying as well as extending debt. Statistics developed by Credit Suisse indicate that corporate free cash flow in the G4 Nations (U.S., U.K., Japan and German) as a proportion of GDP is now at an all-time high, and that U.S. corporate balance sheet cash is at a 50-year high. So, qualitatively, corporate credit quality is not merely markedly improved during the past two years, it can be characterized as historically superior.

Measuring the Opportunity

Now, compare this general qualitative improvement with the perception of risk by equity investors as embodied in stock valuations. During the past 10 years, the price of the S&P 500 has dropped by 20%, even as per-share earnings have risen by 45%. Moreover, this has occurred in an environment of declining interest rates. Ten years ago, in June 2000, when U.S. Treasury yields were 6%, the P/E ratio on the S&P 500 Index companies was about 27x. Today, Treasury yields have declined to a mere 3%, while the P/E ratio on the S&P 500 companies, based on consensus estimates for this year, is only about 13.6x.⁶ Ordinarily, when interest rates decline, stock valuations rise, simply because a bond's contractually promised yield and return of principal compete with the uncertain potential return of an equity. A 3% assured return is far less attractive than a 6% assured return, so marginal capital should have been attracted to stocks. Yet, it fled.



Source Bloomberg. Earnings yield based on estimates.

To be clearer about this, we should defrock the designation “P/E”, which is an inscrutable abstraction in general, and in this discussion in particular. Bond returns are expressed in terms of yield, which is understandable. Even real estate investors refer to the price paid for, let's say, a rental property in terms of yield – they might call it a “cap rate”, but if the buyer is willing to pay \$1 million for a property that produces \$80,000 of annual rent, it is said to be priced at 8%. This permits comparison. But what does P/E

⁶ U.S. Treasury yields and S&P 500 Index data as reported by Bloomberg.

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signify? Stock pricing can be placed on the same basis if one simply inverts the Price/Earnings ratio, such that a P/E of 10x becomes an earnings yield (E/P) of 10%. Given, above, an S&P 500 P/E of about 13.6x, the earnings yield is 7.3%. What can be said about this? A few things.

First, in terms of value available today, while it would take about 24 years to earn back one's principal investment in a 10-year U.S. Treasury – assuming there are no income taxes due on that 3% interest – and 18 years in High Grade Corporate Bonds (now a 4% average yield, and also assuming no income taxes due), it would require only 10 years to do so in stocks.

Second, market valuations are even lower than they appear. On a simple equal-weighted basis, consensus earnings estimates for the S&P 500 Index for 2010 suggest a current P/E ratio of 13.6x.⁷ Of these 500 companies, 147, representing almost 40% of the market value of the index, have a P/E ratio of 10x or lower. That's an earnings yield of 10%.

If one were to require only an average P/E of 10 (as opposed to a cut-off P/E of 10), that would encompass 282 companies in the S&P 500, representing almost two-thirds of the index market value. These include the Pfizers, United Technologies and Ciscos, the Chevrans and Krafts. An investment in this two-thirds of the S&P 500 would require only 7 ½ years for recouping one's investment through accumulated earnings, assuming that earnings don't expand – which they will. This is one way of observing the impact of bubble fear upon investor behavior – it confers upon us an historic valuation opportunity.

Some Sample Instruments of Opportunity

Here's another way. BP. Which used to be British Petroleum. This company just lost about one-half of its stock market value, which is not quite \$100 billion. The liabilities facing it from the ongoing Gulf of Mexico oil spill are unquantifiable. Yet, it has attracted the attention of many who consider themselves value investors. These value investors are perhaps making a decision on the basis of statistical measures – the price/book value ratio, for instance. BP, upon a halving of its market value, now trades at 1.0x its book value. This is statistically extremely cheap for a company that consistently generates substantial earnings, because aside from the liquidation value, one pays nothing for all the many years of future earnings. Those future earnings have value in the present, which is why profitable companies typically trade at some multiple of their book value. The long-term average price/book value ratio of the S&P 500 is well over 2x.⁵

⁷ Sourced from Bloomberg.

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However, the BP book value might be written down by the ultimate spill liabilities. If so, it actually trades at greater than 1.0x whatever that book value will be. On the other hand, perhaps there will be no write-down or other form of dilution. Yet, why wager with the unquantifiable? Here are four other companies that, on average, also trade at 1x book value:

<u>Price-to-Book Ratios⁸</u>	
Leucadia National	1.0x
Berkshire Hathaway	1.3x
Sears Holdings	0.8x
Loews Corp.	0.8x
Average:	1.0x

Each of these companies is well capitalized; run by highly regarded, long-tenured managements; provide, even amongst this small sample, a surprisingly high degree of business diversification, even versus the S&P 500; and have produced rather outstanding long-term returns. For instance, while the S&P 500 Index book value per share during the decade since March 2000 expanded at an annualized rate of 5.8%, these companies have produced double or near-double-digit financial returns. Longer-term returns would show similarly divergent results. In the case of Sears, which is a somewhat more complex example because its massive share repurchases (having repurchased 30% of its shares since its merger with Kmart in March 2005) have distorted the book value/share metric, certain underlying results necessitate comment. Perhaps the most critical economic asset of Sears is its real estate. If measured by real estate owned per share, this metric, too, has increased by a double-digit rate.⁹

<u>Book Value/Share Growth⁷</u> <u>10 Yrs. - Q1 2000 to Q1 2010</u>	<u>Multiple of</u> <u>Expansion</u>	<u>Annualized</u> <u>Rate,%</u>
Leucadia National	2.8x	10.8%
Berkshire Hathaway	2.4x	9.2%
Sears Holdings*	1.1x	1.8%
Sears Holdings owned real estate/share	1.5x**	10.1%**
Loews Corp.	2.5x	9.6%
S&P 500 Index	1.8x	5.8%

* Sears from Q1 2005, upon its formation by merger with Kmart.

**From 1/28/06.

⁸ Company financial metrics based on company financial statements as reported by Bloomberg.

⁹ Of the 3,900-odd Sears stores, some 800 are owned. These 800 stores are crudely estimated to encompass over 90 million square feet of retail space. Let us entirely disregard the 3,100 leased stores and their billions of dollars of revenue, as if they have no value and as if there is no private market value to the Kenmore, Craftsman, Lands End or DieHard brands. It will be found that the market capitalization of Sears is equivalent to less than \$80 per square foot of merely the owned retail real estate. A quick investigation will suggest that the clearing price for such real estate is more in the vicinity of a few hundred dollars per square foot. The share repurchases have concentrated this asset for long-term shareholders, since the real estate portfolio has not been the subject of net sales activity. Accordingly, Sears Holdings is an extraordinarily discounted business.

Suppose that all that these companies are capable of in future is the roughly 10% annualized book value growth of the past 10 years. A thoughtful analysis would suggest a higher result. A 10% book value growth suggests a return on capital of 10%, even inclusive of the worst financial crisis in almost a century. If the economic and financial environment continue to be restrained, such that little or no external growth is available, such companies should still produce at least a 10% rate of return. First, the mere repurchase of shares at book value would serve to produce an internally generated per-share growth rate of 10%. Alternatively, if the environment for weaker companies is harsh, because of the absence of growth opportunities or access to external capital, then stronger companies with access to capital can more readily expand their market share or acquire it – in either case, conditions that weaken lesser competitors become fruitful for stronger competitors. Businesses do not succeed despite challenges, but because of challenges – because they cope.

Accordingly, we would suggest that there are now two levels of return opportunity being made available, and they are multiplicative. The first level is that companies such as those above, as well as other portfolio holdings, are better placed to prosper from this point forward than in the past for the very reason that investors' fears of the equity markets have lowered the clearing prices of all sorts of businesses and assets that they might acquire. This company-level opportunity for enhanced return on capital is magnified yet further by the opportunity for the individual investor to purchase shares of these companies, also at a discount – in this case at liquidation value! Such are the opportunities that have been created.

A Reminder – Time is the Essence

Why does one own equities at all? Just as for any business decision, only to earn a return on capital, if that prospective return is suitably attractive relative to more assured returns. The fear of bubbles and of equities, the thirst for stability, has paradoxically created a return-on-capital opportunity in equities that is now in the double-digit range, and on a relative historical basis superior to that offered in bonds.

That prospective return on capital is only earned, though, on a compounded basis over an extended period of time – the results can be remarkable if husbanded in that fashion, but that compounding can be completely obscured by short-term fluctuations in the valuation multiples that investors pay for those earnings.

The only reliable way to capture that return for capital properly allocated to equities is for the capital to remain invested. For those who are seduced by the idea of keeping their equity capital 'safe' in cash equivalents until the right moment, what are the odds of timing the entry point? Would you say less than 50-50? More? How about less than one-half of one percent?

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The following statistics relate to the 10-year period December 2, 1974 to December 3, 1984. It commences with the end of the 1973/1974 bear market; it encompasses a 6 ½-year period during which the stock market did not appreciate at all (on 3/29/1976 the S&P 500 closed at 102.4; on 8/12/1982, it closed at 102.4); it includes the first two years of the almost 20-year bull market that commenced in that August of 1982.

- 10-year appreciation to December 1984: **281%, or 14.3% per year.**
- Same as above, but exclude the 5 best days, or 0.2% of the 2,529 trading days during those 10 years: **209%, or 11.9% per year**
- Same as above, but exclude the 20 best days, or 0.8% of the 2,529 trading days during those 10 years: **101%, or 7.2% per year.**

Excluding merely the 20 best days out of 2,529 days, halved a quite remunerative return; it turned a suitable equity return into a bond like return. This is not a figurative statement. The 10-Year U.S. Treasury yield was 7.6% on 11/30/1974.¹⁰ We cannot speak for anyone else, only for ourselves. It is beyond our powers to know which 0.8% of the next ten years' trading days to not miss.

Core Value Portfolio Changes – Selected Comments:

The following positions were either initiated or substantively increased during the past quarter. The ongoing divergence between underlying financial and share price performance is obvious – that each of these companies has declined this year, and by much more than the market, with one exception. Yet, all of these companies have manifested far superior financial performance to the broad stock market, and the managements responsible for that result are still in place. Accordingly, we believe they should eventually produce quite superior price results as well, although for the time being they detract from the portfolio returns.

	Position Size at		Price Change,
	3/31/10	7/10/10	12/09 – 6/10*
Sears Holdings	0.40%	3.2%	-22.5%
Leucadia National	2.09%	2.3%	-17.9%
Jarden Corp.	0.68%	1.6%	-13.1%
Forest City Enterprises	0.97%	1.8%	-3.9%
DreamWorks Animation SKG	0%	1.1%	-28.5%

*Note: This represents the year-to-date price change, not the price change from our purchase date(s).

¹⁰ Bloomberg 10-Year U.S. Treasury yield.

Sears Holdings

Although the Sears Holdings valuation was reviewed in a footnote in the preceding pages, given that it is now a core position, let's examine the potential return profile a little more closely.

First, a 0.5% position was purchased in March at about \$120/share, and it has declined ever since to about \$70. During the interim we've purchased more, and the position is now over 3%. Does it trouble me that it has declined? Believe it or not – I'm sure you won't – I am actually delighted. Permit an explanation.

First, one should understand that Eddie Lampert, through ESL Holdings, controls 57% of the shares. In the last 3 years, under his direction, the company has repurchased 25% of the shares. At lower prices he can repurchase yet more from disenchanted shareholders, which redounds to the benefit of the remaining shareholders.

How so? If, simplistically, 5 years were required until the stock trades at, let's say, a \$250 clearing price per square foot of real estate from the 800-odd owned stores (and as per the footnoted example, one continues to ignore all of the revenues and earnings from the 3,100-odd leased stores):

- That would produce a \$23.25 billion stock market capitalization. Given the outstanding share count today, the share price would be \$217, or 3.3x the current price. On an annualized basis, the return would be 27% per year.
- That ignores, though, the likelihood that Sears will continue to deploy some portion of its sizable cash flow to continue repurchasing shares. If the company were to buy back another 25% of the shares, the resultant share price would be \$270, or 4.2x the current price, or 33%/year.

So, if someone should favor you with the gift of partial foreknowledge, that you will earn 33% a year between now and 5 years from now, but won't divulge the interim price pattern – should you care? ¹¹

Leucadia, was added to in May, albeit by only 0.5%. Mssrs. Cumming and Steinberg, who founded Leucadia in its current form, and who control over 20% of its shares, continue to manage it. As principals, they engage in a different form of decision making than the agent form of CEO – they make longer-term return-on-capital based decisions (since it is, to a great extent, their own capital) as opposed to career-based or short-term investor constituency-based decisions. In this regard, they may be favorably associated with Sears Holdings, preceding, or Jarden Corp., below.

¹¹Sourced from company reports and Bloomberg.

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Over the past 20 years, from 12/89 to 12/09, the Leucadia book value per share has compounded at 16.7% per year, and one's investment would have risen by 21.9x. Where does one find curricula vitae of that quality? Yet, it can be had for book value.

Those results were net of more than a 50% write-down in book value in the wake of the 2008 credit crisis – not due to an operating or investment loss in the conventional sense, though. Rather, this was due to the accounting tests for estimates of future profitability that are evaluated against a very significant financial asset that Leucadia acquired some years ago: a \$1.6 billion tax-loss carry-forward. Given the temporary decline in many of the Leucadia investments, accounting rules dictated that this tax asset had limited value and had to be marked down. To the degree that future such tests suggest a recovery of expected future earnings, the tax-loss carryforward and book value can, in principle, be recovered to a dramatic degree. These subtleties – albeit of the \$1 billion class of subtleties – are surely of little relevance to most investors at present.¹²

Jarden Corp. is a company that, from the inception of its current incarnation at the end of 2001, has produced annualized book value/share growth of 41%. Even in its more recent slower-growth, recession-impacted phase, from year-end 2004 onward, it has produced a 6.8% annualized increase in book value versus a decline in book value for the S&P 500 Index. This is the result of the efforts of Martin Franklin, the Chairman and CEO, who owns some \$100 million worth of stock. He was appointed, following an attempted hostile takeover by him and his partner Ian Ashkin. The then-existing Board was so impressed with their suggestions to improve the company, that they hired the duo to run the company. In return, they agreed to keep Jarden public.

The strategy they engaged upon, coordinated with the divestiture of most of the existing businesses, was to acquire, with leverage, a variety of stable consumer franchises. In general, these businesses are characterized as mature (i.e. low-growth), but stable and highly cash generative. The company invests in the brands for value added; for instance, new products launched during the past 3 years are expected to represent over 30% of 2010 sales. Over time, Jarden has built an increasingly diversified portfolio, both as to user segments and geographically. The nature of these products will be clear upon viewing the following small sample – they are exceedingly well known brands, almost exclusively with the #1 market share in each of their respective sectors:

- Bee / Bicycle – playing cards
- Rawlings – baseball helmets, gloves, bats, umpire protective equipment, etc.
- Coleman – outdoor/camping products
- Crock-Pot / Mr. Coffee / Oster / Sunbeam– cooking equipment, small appliances
- First Alert – safety products (smoke detectors, extinguishers)
- Health-o-Meter –scales

¹²Sourced from company reports and Bloomberg.

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- Bonaire / Holmes – household appliances
- K2 / Market / Volkl – ski products
- Stren / Trilene / Ugly Stock – fishing line and rods

One can understand why, although any consumer product is subject to cyclicalities of demand, even a recession might not meaningfully affect the decision to replace a pack of Bee playing cards or a broken Mr. Coffee. What is the clearing price today, in a 3% Treasury world, of such a superb specimen of a company as Jarden? Based on consensus earnings estimates, the shares trade at 10.7x this year's expected earnings and 9.2x next year's – those are going-in after-tax earnings yields of 9.3% and 10.9%.¹³

Final Comment – China and the Ultimate Rewards of Long Term Investing

The Core Value Portfolio has had an allocation to China since 2007, and maintained a roughly 12% to 15% exposure ever since. The notion of maintaining investments in or related to China (and India, for that matter) certainly relates to portfolio construction and functional diversification – it is important for a U.S. investor to have exposure to that portion of the world that is going to impinge ever more obviously on our and our children's lives and finances in the years and decades to come. Recall about a half-year ago, when the fear was that the China growth engine died in the global credit crisis. In the ongoing effort to counterbalance the availability error that besets us all, we observed that January 2010 automobile sales in China had reached a new all-time high and surpassed the U.S. market in size. And it's only getting started. In consideration of the motif of great reversals, U.S. automakers are beginning to rely upon Chinese market demand to achieve the unit sales expansion they require.

So, one might expect elements of currency, growth, inflation and cyclical benefits of a nature that can't be found within the U.S. market. But the topic of China also has relevance to the discussion not only of bubbles, but of long-term investing and why and how investors err in response to short-term price changes. Investors too often infer information content merely from price changes, those hypnotic patterns, which reflect the public's and media's preoccupation with *events* – which are short-term and easily visible, rife with opportunities for availability error and linear thinking -- as opposed to *conditions*, which unfold slowly over time and have long-term impacts. With respect to China, one should be concerned with changing conditions, decidedly not with short-term events.

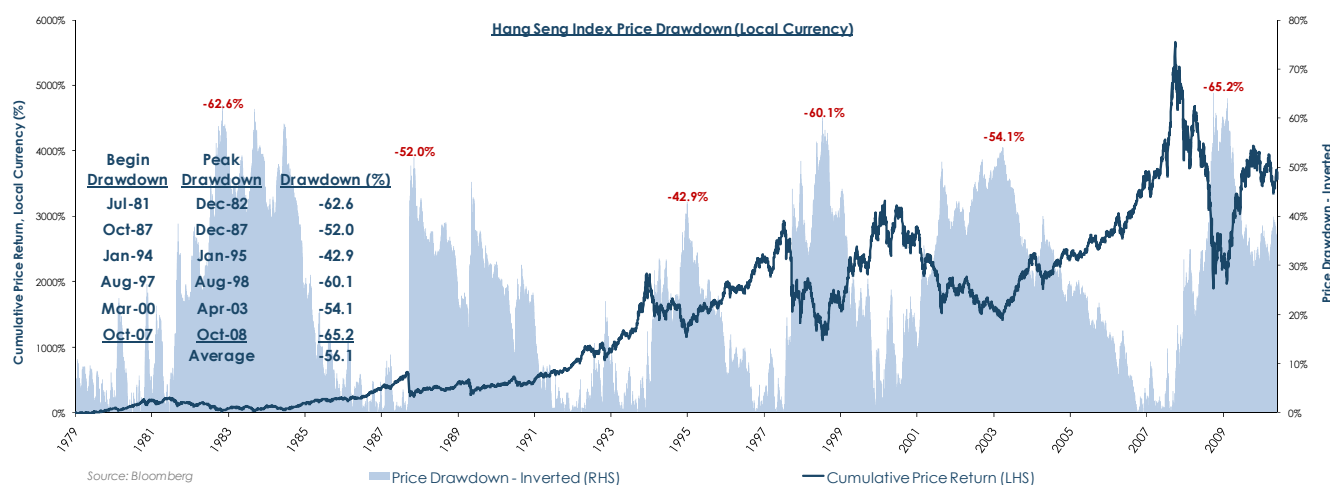
Perhaps the following chart will make the point. It is of the Hang Seng Index for 30 years since the beginning of the opening of that market. First things first: 1st ten years, just getting going.

¹³ Sourced from Bloomberg.

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- However, for the past 20 years, that market has provided 5% points per year more than the U.S. market – it is actually a very significant difference; it is the difference between \$1 million cumulating to \$10.8 million as opposed to \$4.4 million.
- Over the past 10 years, a 7.4% annual difference, \$1 million becoming \$1.7 million instead of \$850,000.
- Five years: 11.8% annual differential: \$1 million to \$1.7 million versus \$960,000.¹⁴



That's not actually the important part. The important part is the light blue-colored area on the chart, which are quantified in the table on the left-hand side of the chart and depict the so-called "drawdowns". During this 30-year period of tremendously remunerative results, there were 6 separate occasions in which the Hang Seng Index declined by roughly 50% or more.

In the U.S. we now have a generation of individual investors and Corporate Executives who have been traumatized, perhaps permanently, by one 40-50% decline. China has had 6, and that market has done quite well. I have little doubt that the next 20 years will see the same type of divergence, and I would like to be there. How much should I care about the day to day, month to month or even year to year shifts. If one can reconcile the human flight response with our human power of reason, then the course of action is clear – it relates every bit as much to equity investing right now in the U.S. market as to China.

¹⁴ Sourced from Bloomberg.

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